

## GOLD LOAN PRODUCTS AND PROCESS

Department: Sales | Category: Gold Loan | Year: 2024 | CONFIDENTIAL

**\*\*BAJAJ FINANCE LIMITED INTERNAL POLICY DOCUMENT\*\*****\*\*SUBJECT: GOLD LOAN PRODUCTS POLICY\*\*****\*\*1. LOAN AMOUNT RANGE\*\***

The Gold Loan Products offered by Bajaj Finance Limited range from a minimum of Rs. 10,000 to a maximum of Rs. 50,00,000, depending on the gold collateral provided and the applicant's eligibility.

**\*\*2. GOLD PURITY ACCEPTED\*\***

Bajaj Finance accepts gold ornaments with a purity ranging from 18 karats to 24 karats. The valuation of the gold is conducted based on its net weight and purity, ensuring adherence to industry standards.

**\*\*3. MAXIMUM LOAN-TO-VALUE (LTV) RATIO\*\***

In compliance with the Reserve Bank of India (RBI) regulations, the maximum LTV ratio permissible is 75%.

**\*\*4. INTEREST RATE SLABS BY TENURE\*\***

- **\*\*Up to 6 Months\*\***: 9.5% p.a.
- **\*\*6-12 Months\*\***: 10.5% p.a.
- **\*\*12-24 Months\*\***: 11.5% p.a.
- **\*\*Beyond 24 Months\*\***: Subject to negotiation and risk assessment.

**\*\*5. LOAN PROCESS: APPRAISAL TO DISBURSEMENT TIMELINE\*\***

- **\*\*Step 1: Application Submission\*\***

The customer submits an application with necessary KYC documents and gold ornaments for appraisal.

- **\*\*Step 2: Gold Appraisal\*\***

A certified appraiser assesses the gold's purity and weight. This process takes approximately 1 hour.

- **\*\*Step 3: Loan Offer and Acceptance\*\***

Based on the appraisal, a loan offer is made. Upon acceptance, the customer signs the agreement.

- **\*\*Step 4: Disbursement\*\***

The loan amount is disbursed within 2 hours, either through direct bank transfer or cash, as per regulatory cash handling limits.

**\*\*6. GOLD STORAGE AND INSURANCE\*\***

The pledged gold is stored in secure vaults with 24/7 surveillance. Comprehensive insurance covers the gold against theft, loss, or damage during the tenure of the loan.

**\*\*7. AUCTION POLICY IF LOAN NOT REPAYED\*\***

## GOLD LOAN PRODUCTS AND PROCESS

Department: Sales | Category: Gold Loan | Year: 2024 | CONFIDENTIAL

In case of non-repayment, a notice is sent to the borrower 30 days prior to auctioning the gold. Auctions are conducted transparently, and any surplus amount (after settling dues) is refunded to the borrower. The auction process adheres to legal norms and regulations.

### **\*\*CONCLUSION\*\***

This policy document outlines the structured framework for Bajaj Finance Limited's Gold Loan Products, ensuring customer-centric services while maintaining regulatory compliance and operational efficiency.